Crude Curve Fundamentals & Scenario Map

Brent · WTI · CLBZ (WTI−Brent): which fundamentals drive each part of the curve, and how the curve reshapes under each scenario to the end of Q1 2027. Prices are 28 Oct 2026 settlements from the QH database. Fundamentals come from Platts Oilgram News (27–28 Oct) and the Oilgram Price Report (27 & 28 Oct issues).

$115.32	**$27.16**	**$79.44**	**$102.78**	**−12.54**
Brent Dec26 (expires 30 Oct) Jan27 $111.64	Brent M1−M13 backwardation pre-war: $5.13	Brent Dec28: 2026 high +$13.45 vs pre-war	WTI Dec26 M1−M13 $20.78	CLBZ Dec26 Dec28 −4.98, pre-war −4.9

Executive summary

- **The curve prices a war premium that fades with tenor, but it does not fade to zero.** Against the pre-war curve (27 Feb), Brent Dec26 carries +$46.7, Jun27 +$30.8, Dec27 +$21.9 and Dec28 +$13.5. The WTI profile is almost identical (+$39.1 → +$13.0). At the June ceasefire trough the premium was a flat ~$4 at every tenor.
- **The back end has re-rated for good.** Brent's 2-year-out (M25) reached a 2026 high of $79.44, while the front is no higher than at the March peak. M13−M25 is at a record $8.72. The market now treats the shock as a multi-year stock deficit, not a passing disruption. Global inventories are down >600 mb since February, the US SPR is at a 44-year low, 2027 upstream capex is only low-to-mid single digits higher, and Permian frac capacity is “tapped out”.
- **The prompt is torn between paper risk and a weakening physical market.** Futures are bid on post-midterm (3 Nov) strike risk, mines and Houthi attacks on Saudi assets. Physical crude, meanwhile, is lengthening. The North Sea Dated strip flipped into contango for early November. CPC trades near −$10 to Dated, Sonatrach cut its Saharan OSP by $7.25, Dubai cash premiums fell four days running, and Gulf crude exports are back to ~16–17 mb/d. Distillates are the main prop: NWE ULSD is $1,509/mt (2.1× the February level), US ULSD stocks are the lowest since 2014, and ICE gasoil spreads are 3× normal.
- **WTI is the “secure barrel” but is capped by logistics.** US output is a record 13.99 mb/d and exports jumped to 4.85 mb/d. Asian buyers pay $20–30/b premiums for WTI Midland. Even so, freight (VLCCs at ~$1m/day) and dock capacity keep WTI $12.5 under Brent at the front. The CLBZ curve is steeply inverted: −12.54 (Dec26) to −4.98 (Dec28). Each $1 of extra Brent backwardation has cost CLBZ M1 about $0.25 this year (ρ = −0.81).
- **Scenarios: the forward is roughly fair on average, but the outcomes are skewed.** Our probability-weighted curves sit close to today's forwards. The skew lives in the prompt spreads. Re-escalation (25%) roughly doubles Brent H7–Z7 (to ~$34). De-escalation (20%) flattens it to ~$0 and narrows CLBZ to ~−3. In both cases the 2028 contracts move only $4–6. Spreads and CLBZ, not back-end outrights, are the efficient way to express a Middle East view.

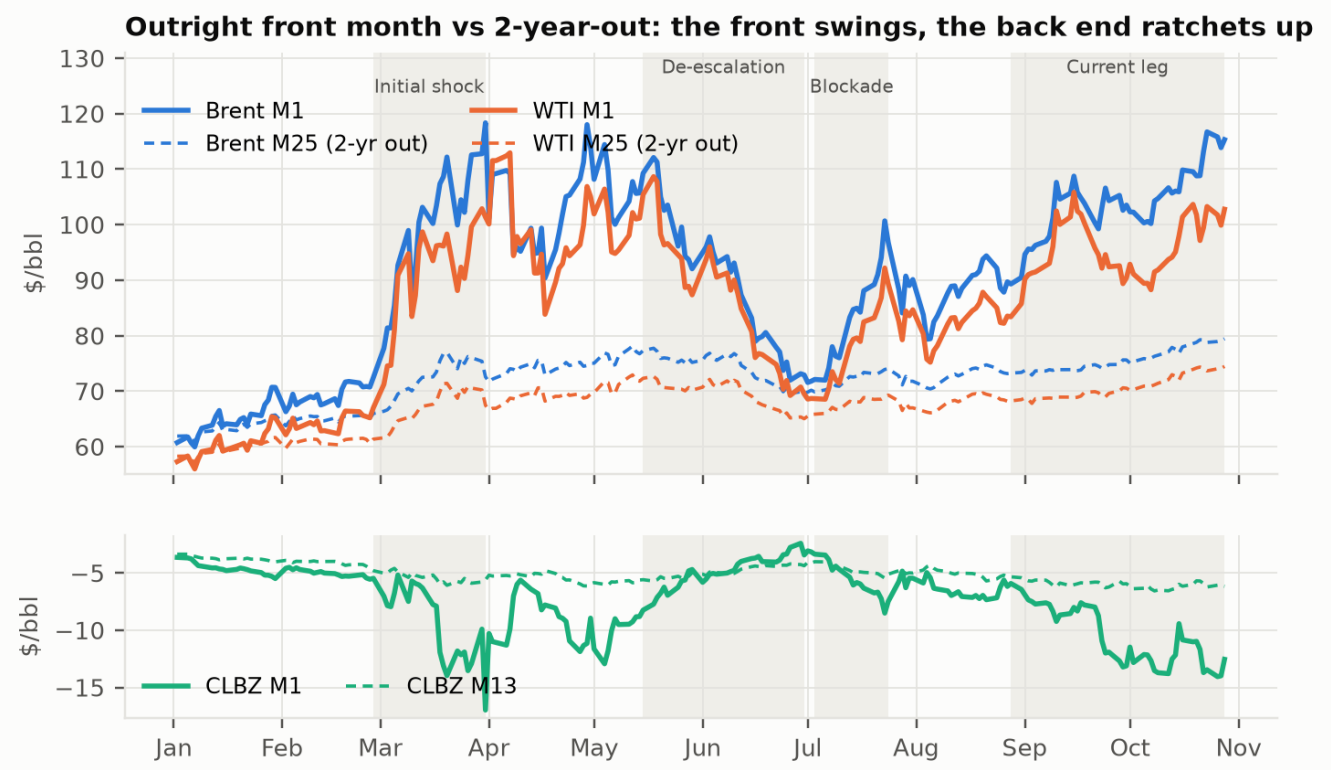


Figure 1. Generic front month (solid) and 25th month (dashed). Shaded windows are the four 2026 regimes used as empirical analogs in the scenario model (Table 1). Each de-escalation has reset the front but left the back end higher than the previous trough.

1. Where the curve is, and what 2026 has taught us

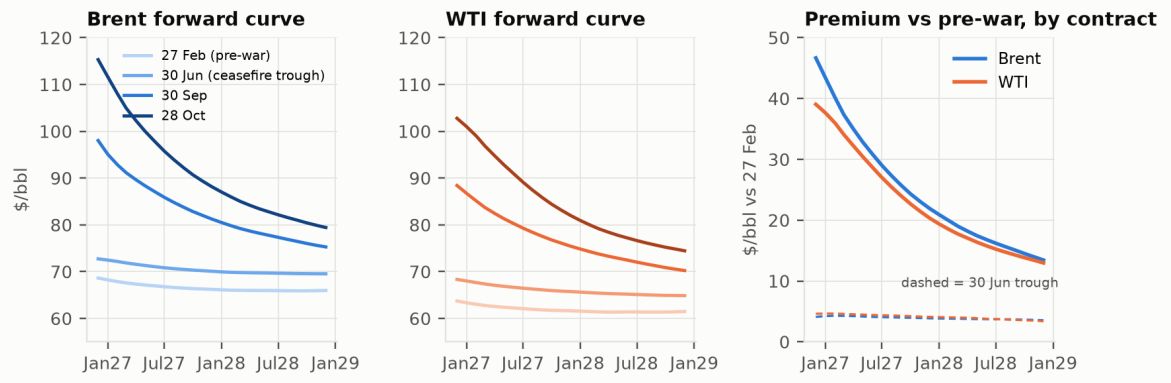


Figure 2. Forward curves on four dates, and today's premium over the pre-war curve by contract (solid). Dashed lines are the 30 Jun ceasefire trough. That premium was almost flat across tenors; today it is steeply front-loaded.

Four regimes so far this year give us empirical sensitivities for each part of the curve. Table 1 shows how much the front, the 1-year spread and the 2-year-out contract moved in each one:

Episode (dates)	Brent ΔM1	Brent ΔM1−M13	Brent ΔM25	ΔM25 / ΔM1	WTI ΔM1	WTI ΔM25	CLBZ ΔM1	CLBZ ΔM13
Initial shock 02-27 → 03-31	+45.9	+37.7	+6.6	0.14	+34.4	+6.1	−11.5	−0.8
De-escalation 05-15 → 06-30	−36.3	−25.2	−7.7	0.21	−35.9	−7.3	+4.8	+1.2
Blockade re-escalation 07-03 → 07-24	+24.7	+18.1	+4.2	0.17	+20.6	+3.5	−4.1	−1.1
Current leg 08-28 → 10-28	+26.0	+14.4	+6.2	0.24	+19.4	+6.2	−6.6	−0.8

Table 1. Moves in $/bbl over each window (generic contracts, settlements). ΔM25/ΔM1 is the realised back-end beta.

What the analogs say.

- **Back-end beta is low but has been rising.** In the shock, de-escalation and blockade episodes the 2-year-out contract moved 0.14–0.21× the front. In the current leg it moved 0.24× (Brent) and 0.32× (WTI). Since March, daily regression betas to M1 are 0.38 at M6, 0.22 at M12 and 0.12 at M24. The latest rally is pulling the whole curve higher, not just the prompt. That is the fingerprint of a structural (inventory and investment) theme layered on the geopolitical one.
- **Volatility falls steeply down the curve.** Annualised $-vol since March is 63 $/bbl at M1, 29 at M6, 19 at M12 and 13 at M24 (Brent; WTI is similar). Scenario risk is concentrated in the first 6–9 contracts.
- **De-escalation is fast and complete at the front.** From mid-May to end-June Brent M1 lost $36 and M1−M13 collapsed from $27 to $2 within six weeks. CLBZ M1 narrowed by $4.8, briefly to about −$2.8. Today's $27 M1−M13 is right where the May de-escalation started.
- **CLBZ follows Brent structure, but it is currently cheaper than that relationship implies.** On the 2026 fit, Brent at $27 M1−M13 would put CLBZ M1 near −$10.3. It settled at −$12.5. The extra ~$2 reflects freight and US export logistics, which have worsened since September (Section 4).

Fundamental dashboard (from the source reports)

Indicator	Latest	Reference	Read-through
Dated Brent	$119.52 (27 Oct)	Week avg 120.93 (prior wk 126.97)	Physical premium fading
Dubai cash−futures	+$5.68 (28 Oct)	Down four sessions in a row	Sour demand soft, supply ample
Gulf + Red Sea crude exports	16.1 mb (26 Oct)	2.39 mb end-Mar; peak 29.9 mb	Recovered but vulnerable
Hormuz transits / VLCC rate	20 (5 VLCC) / $1.04m/d	Above $1m/day since 18 Sep	Freight caps the US arb
NWE ULSD / ICE gasoil spread	$1,509.5 / $61.50 per mt	Feb avg $714.7; peak $1,642	Main prompt support
US crude stocks / Cushing / SPR	410.6 / 26.97 / 282.6 mb	−3.8% vs 5-yr; SPR 44-yr low	Tight, not squeezing
US output / exports	13.99 / 4.85 mb/d	Record / 5-month high	Export ceiling binds
EU gas storage / TTF	74.9% / €95.83/MWh	Record low for the date	Oil switching, winter risk
Russia refining offline / diesel	2–4 mb/d / 891 kt Oct	453 kt Sep; ~2.7 Mt Oct 2025	Recovering, far from normal
WTI Midland Asia vs Dubai / WCS	+$26.30 / −$23	Record +$34.60 / record low	Light tight, heavy glut

Table 1b. Key fundamentals cited in Platts Oilgram News and Price Report, 27–28 Oct 2026.

2. Brent: primary themes by curve segment

Brent Dec26 settled at $115.32 on 28 Oct and expires 30 Oct, so Jan27 ($111.64) becomes the prompt. Dated Brent was assessed at $119.52 on 27 Oct. It has traded well above futures since February because the physical premium for prompt, secure Atlantic-basin barrels is being paid in Dated and in the Dated-linked CFDs.

Segment	Today (28 Oct)	Primary fundamental themes	Net pressure
Prompt Jan27–Mar27 (M1–M3)	Jan27 111.64 Mar27 104.95 M1−M2 3.68 front fly ≈ 0	**(+) Hormuz/war risk.** Transits are down to 20 ships/day (5 VLCCs). The US Navy advises avoiding Hormuz and the Gulf of Oman, Iran claims a tanker hit a mine, and Houthis claim a strike on Ras Tanura (550 kb/d). TD estimates Mideast crude flows are back to ~70% of pre-war. Trump hints strikes could resume after the 3 Nov midterms. **(+) Distillates.** NWE ULSD $1,509/mt, ICE gasoil prompt spread $61.50/mt, Rhine at low water. 2–4 mb/d of Russian refining is still offline, though Russian diesel exports recovered to 891 kt in October (453 kt in September). **(−) Physical length.** The North Sea Dated strip is in contango for early November. Oseberg, Johan Sverdrup and Forties premiums are sliding, and WTI Midland is offered into Rotterdam at +$6–8. CPC trades at −$9 to −$11, the Saharan OSP was cut by $7.25 and Basrah is at a discount in the Med. Freight traps Atlantic barrels in-basin, and Dubai cash premiums fell four days to $5.68.	**Two-way, risk-skewed up.** Paper premium vs physical softness; the Dec/Jan roll is still strong.
Winter–H1 2027 Apr27–Sep27 (M4–M9)	Jun27 97.82 M1−M7 17.50 fly ≈ +0.15	**(+) Restocking demand.** Scorpio estimates stocks have drawn >600 mb since the war began and may not rebuild until late 2027. Product demand ex-fuel oil is ~74 mb/d (70 in May). **(+) Gas-to-oil switching.** EU gas storage is at a record-low 74.9% and TTF at €95.8/MWh. LNG through Hormuz stays “very limited” until there is a resolution. **(−) Supply response.** Gulf exports are up from 8 to ~17 mb/d since May and refinery runs are up ~4 mb/d. WAF and North Sea December programmes are ample (Angola 1.025 mb/d). Iran has 3.7 mb/d of capacity against 2.1 mb/d of output, a latent 1.5 mb/d that returns with peace. **(−) Demand destruction.** NW European end-users are buying hand-to-mouth, and governments are extending fuel-tax relief (UK, Czechia, Italy), a sign that prices are biting.	**Rolls down with the prompt**; the main transmission of war/peace outcomes after M3.
Back of 2027 Oct27–Dec27 (M10–M12)	Dec27 88.16 Z7−Z8 8.72 (record)	**(+) Slow inventory rebuild and low SPRs.** The US SPR is at 282.6 mb. Asian buyers are building strategic cover: India is expanding SPR and storage, Korea caps single-region supply at 50% by 2035, and Indonesia has moved to G2G buying. **(+) North Sea decline.** Johan Sverdrup is down 11% YTD and will decline faster in 2027. Troll and Oseberg December programmes are lower. **(−) New supply in 2027.** Rosebank (70 kb/d) in H1, Bacalhau at plateau, Uganda via EACOP, Vostok Oil via a year-round Northern Sea Route, and a Venezuela drilling revival.	**Moderately supported**; structural support offsets new barrels.
Long-dated 2028 (M13–M25)	Dec28 79.44 +13.45 vs pre-war	**(+) Cost of supply has reset higher.** Offshore rig rates approach $500k/day with 99% contracted utilisation. Service pricing is “the next leg”, freight is up 20% y/y and Permian frac capacity is exhausted. **(+) Under-investment.** Producers will not sanction long-cycle projects on war prices (Noble), so 2027 upstream capex grows only low-to-mid single digits. **(+) Permanent risk premium.** Insurance, CIF buying and route diversification (US crude to Asia +352% y/y in Japan) add to costs. **(−) Policy and new basins.** EPA methane rollback (+210 mb), Venezuela, Guyana, Namibia and Taroom provide longer-run relief.	**Up-drift**; anchored by marginal cost, not by the war.

Table 2. Brent theme map. (+) supports prices/backwardation in that segment, (−) weighs on them. Sources: Platts Oilgram News/Price Report 27–28 Oct 2026.

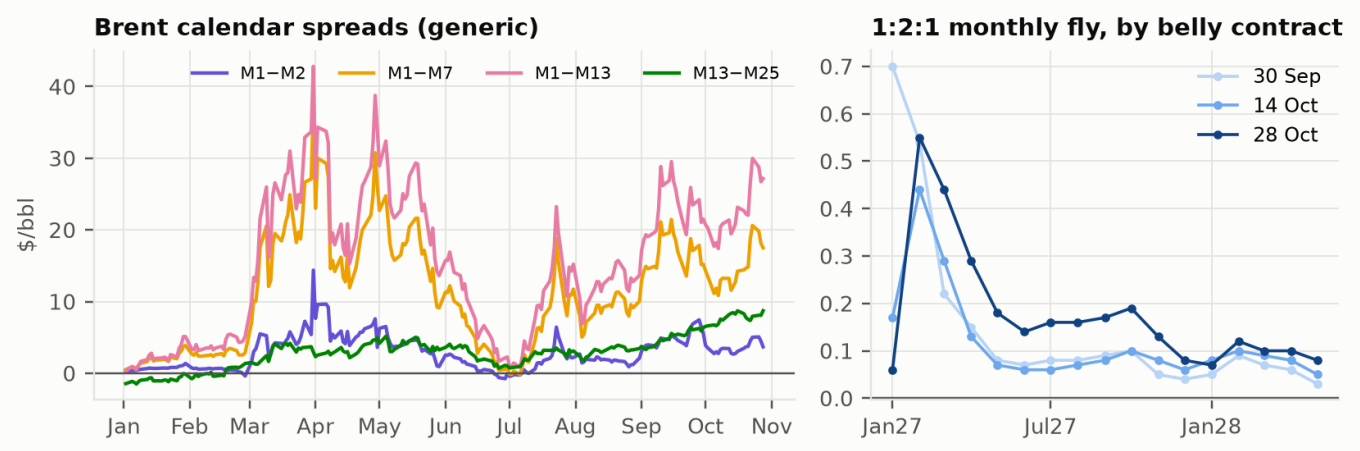


Figure 3. Brent generic spreads (left) and the 1:2:1 fly by belly contract (right). M13−M25 is making new highs even as M1−M2 eases from 5.07 to 3.68 this week. The fly curve shows curvature has migrated from Jan/Feb into Feb–May27, so the steepest part of the curve is now winter into spring.

2b. Brent scenarios to end-January 2027

Each scenario sets a move in the prompt contract (Mar27 at the horizon) and in Dec28. Contracts in between follow an exponential decay calibrated to the 2026 analogs (Table 1) and to the measured M1 betas. Supply/demand scenarios use a 5-month decay; prompt-only scenarios (demand destruction, distillate squeeze) use a 2.5–3 month decay, so they mainly bend the front. Probabilities are our judgement from the news flow and are set so the weighted curve stays close to today's forward; the information is in the skew.

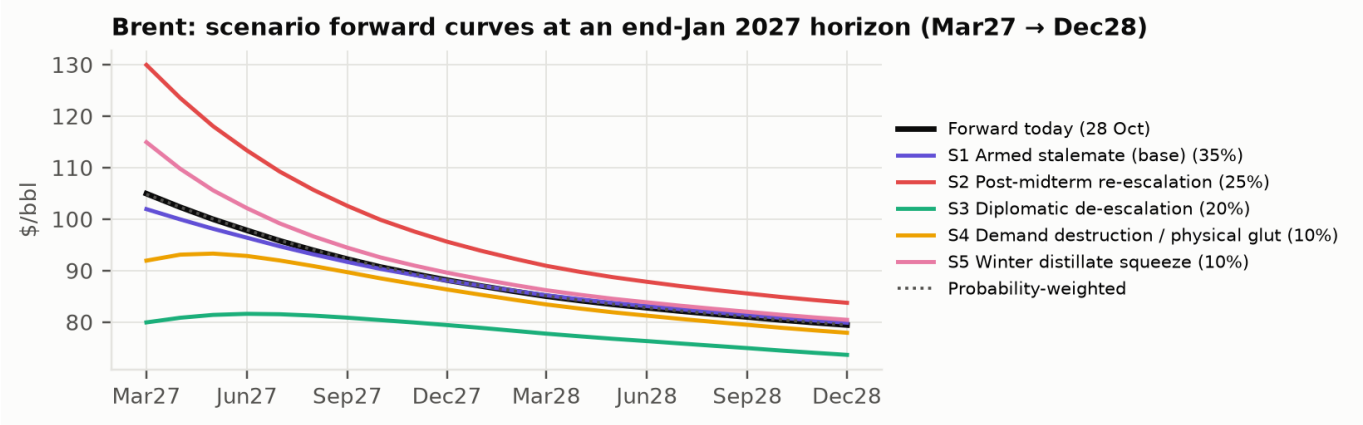


Figure 4. Brent scenario curves on fixed contracts at the end-Jan 2027 horizon.

Scenario	Prob.	Mar27	Jun27	Dec27	Dec28	H7–K7	H7–Z7	Z7–Z8	H/J/K fly
Forward today		104.95	97.82	88.16	79.44	4.97	16.79	8.72	0.29
S1 Armed stalemate (base)	35%	101.95 −3.00	96.40 −1.42	88.08 −0.08	79.89 +0.45	3.82 −1.15	13.87 −2.92	8.19 −0.53	0.17 −0.12
S2 Post-midterm re-escalation	25%	129.95 +25.00	113.35 +15.53	95.63 +7.47	83.75 +4.31	11.89 +6.92	34.32 +17.53	11.88 +3.16	0.98 +0.69
S3 Diplomatic de-escalation	20%	79.95 −25.00	81.62 −16.20	79.44 −8.72	73.65 −5.79	−1.46 −6.43	0.51 −16.28	5.79 −2.93	−0.35 −0.64
S4 Demand destruction / physical glut	10%	91.95 −13.00	92.86 −4.96	86.35 −1.81	77.94 −1.50	−1.36 −6.33	5.60 −11.19	8.41 −0.31	−0.96 −1.25
S5 Winter distillate squeeze	10%	114.95 +10.00	102.13 +4.31	89.61 +1.45	80.45 +1.01	9.35 +4.38	25.34 +8.55	9.16 +0.44	1.01 +0.72
Probability-weighted	100%	104.85	97.90	88.22	79.47	4.82	16.63	8.75	0.24

Table 3. Brent scenario levels; the small figure is the change vs today's settlement for the same contract. Shading: blue = above today, orange = below. H7–K7 = Mar27−May27; H7–Z7 = Mar27−Dec27; Z7–Z8 = Dec27−Dec28; H/J/K fly = Mar27 − 2×Apr27 + May27.

Scenario	Narrative and triggers	Curve impact	Signposts to watch
S1 Armed stalemate (35%)	The “neither war nor peace” standoff persists through the midterms. Hormuz flows stay at 70–85% of pre-war, attacks are sporadic, the US blockade on Iran holds and freight stays high.	Prompt drifts lower as Atlantic physical length is cleared in-basin; H7–K7 eases ~$1. The back end holds as restocking and capex themes persist, so the curve flattens at the front only.	Dated vs futures premium, North Sea CFD structure, daily Hormuz transits 18–25, Dubai cash $4–7.
S2 Post-midterm re-escalation (25%)	US strikes resume after 3 Nov, Iran mines or attacks shipping, and Houthis widen strikes on Saudi assets. Flows fall back toward March levels (2.4 mb in a day).	Prompt +$25, as in the July blockade leg. H7–Z7 roughly doubles to ~$34 and Z7–Z8 reaches ~$12. The back end gains ~$4 because the episode extends the stock deficit.	Hormuz transits <15 and VLCC transits <3, Dubai cash >$8, VLCC rates back above $1m/day, further US Navy notices.
S3 Diplomatic de-escalation (20%)	The Saudi/Pakistan/Turkey mediation (26 Oct) produces a ceasefire framework, the blockade is relaxed and LNG resumes through Hormuz. Iran's 1.5 mb/d of spare capacity returns over months.	A repeat of May–June: prompt −$25, H7–Z7 flattens to ~$0 and prompt spreads tip into slight contango. The back end gives up ~$5.5 but keeps ~$8 of its premium over pre-war (restocking, capex).	Formal talks, blockade notices withdrawn, LNG transits, TTF collapse, Dated contango extending into December.
S4 Demand destruction / physical glut (10%)	High prices, rate uncertainty and tax-relief fatigue cut demand while Gulf exports stay near 17 mb/d. Russia's refinery recovery (no strikes since 15 Oct) cools diesel.	Prompt −$13 with a short decay: the front goes into contango (H7–K7 ≈ −$1.4, fly ≈ −$1), the mid-curve is less affected and Dec28 is barely touched.	NWE ULSD below $1,300/mt, ICE gasoil spread below $30/mt, rising floating storage, US/European refinery run cuts.
S5 Winter distillate squeeze (10%)	A cold European winter on record-low gas storage, plus renewed Ukrainian strikes on Russian refineries once US pressure eases after the midterms. US diesel exports to Europe stay weak.	Prompt +$10 through crack-led crude buying. H7–K7 widens to ~$9 and the front fly turns positive (~+1). Little effect beyond 2027.	Weather, EU storage draws, refinery strike reports, ICE gasoil spread above $80/mt, NWE−Med diesel spread above $25/mt.

3. WTI: primary themes by curve segment

WTI Dec26 settled at $102.78 (expires ~19 Nov). WTI shares the global war premium, but the US balance is driven by three things: an export pipe running near capacity, record production, and the tightest distillate market since 2014. Cushing (26.97 mb) has just posted its first draw in six weeks.

Segment	Today (28 Oct)	Primary fundamental themes	Net pressure
Prompt Dec26–Feb27 (M1–M3)	Dec26 102.78 Jan27 100.99 M1−M2 1.79 fly −0.21	**(+) Export pull.** Exports rose 41% w/w to 4.85 mb/d. Commercial crude stocks are 410.6 mb (−3.8% vs 5-yr). Asian premiums for WTI Midland are +$26 vs Dubai DES Korea, with Japan buying February arrivals at low-$30s. Refinery utilisation is 92.8% (+5.9 pts vs 5-yr), the ULSD crack ~$100/b and ULSD stocks 91 mb (lowest since 2014). **(−) Arb compression.** The WTI→Rotterdam arb fell from $13.57 (October average) to $6.83, and Mars→China vs Dubai is negative (−$1.57). Production is a record 13.99 mb/d after Hurricane Isaias. Heavy crude is glutted on the Gulf Coast (WCS −$23 at Cushing, a record; Venezuela 618 kb/d; Canada 3.93 mb/d). Gasoline stocks built 3.9 mb and the gasoline crack fell to $41.7. **(±) Politics.** The midterms bring pressure for lower pump prices: Russian diesel is cleared into the US (first cargo ~6–7 Nov) and Ukraine is pressed to pause refinery strikes.	**Firm but weaker than Brent.** Prompt spreads are much flatter than Brent's (1.79 vs 3.68).
Winter–H1 2027 Mar27–Aug27 (M4–M9)	Mar27 96.85 Jun27 90.94 M1−M7 11.84	**(+) Restocking.** SPR at a 44-year low (282.6 mb), with expectations that SPR barrels stay domestic. Distillate restocking and spring turnarounds follow a hard-run autumn. **(−) Supply response.** Private operators added activity first. Public E&Ps are signalling more 2027 drilling, GoM volumes are back, and Canadian and Venezuelan heavy flows are rising. **(−) Export ceiling.** If the arb stays below ~$7 the incremental barrel stays in the US and Cushing builds.	**Rolls down**; less war beta than Brent at the same tenor.
Back of 2027 Sep27–Dec27	Dec27 82.00 Z7−Z8 7.54	**(+) Cost inflation.** Permian frac fleets are “tapped out” (mid-70s active), contracts reprice in H1 2027, rig utilisation is above 90% and diesel-to-gas fleet switching is held up by equipment lead times out to 2028. **(−) Policy-driven supply.** The EPA methane rollback restores flaring (+210 mb over its life), and Venezuela is reopening to US service firms (Nabors: more than 20 rig opportunities).	**Moderately supported.**
Long-dated 2028	Dec28 74.46 +12.97 vs pre-war	**(+) Breakeven re-set.** Shale cost inflation, together with buyers locking in “secure” non-Middle-East supply (Japan, Korea, Taiwan, India term interest), gives WTI a structural export bid. **(−) Discipline.** Public operators prioritise returns over volume, which caps how far long-dated hedging pressure can push prices up.	**Up-drift**, about $5 below Brent.

Table 4. WTI theme map. Sources: EIA weekly data via Platts (week to 23 Oct), Platts Oilgram News/Price Report 27–28 Oct 2026.

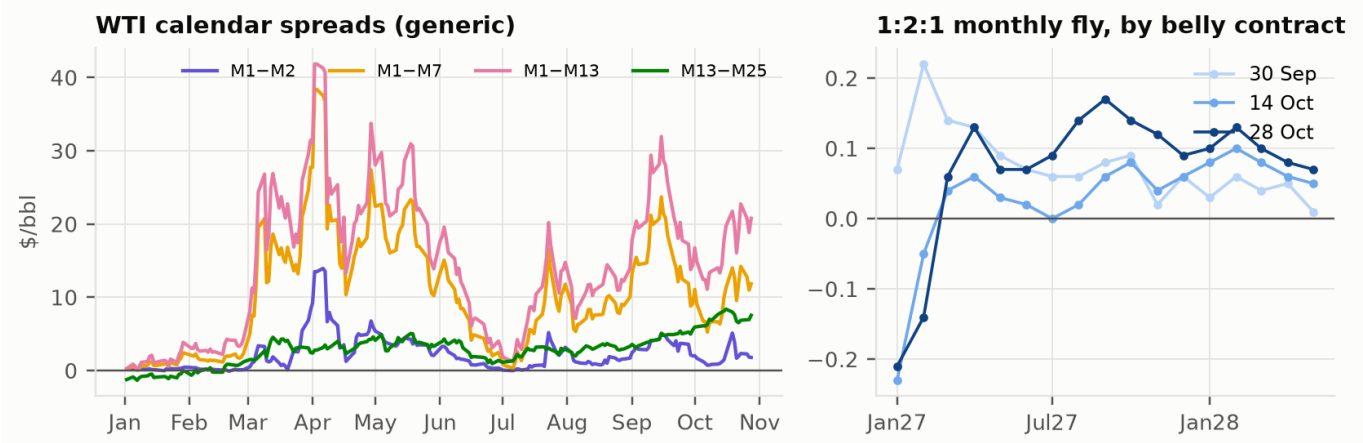


Figure 5. WTI generic spreads and 1:2:1 flies. WTI prompt curvature collapsed after the mid-October Dec/Jan squeeze (front fly +3.25 on 19 Oct → −0.21). The WTI prompt is now flatter than Brent's, consistent with US supply arriving faster than it can be exported.

3b. WTI scenarios to end-January 2027

The four macro scenarios share Brent's narrative and probabilities, but WTI's prompt moves are scaled to ~0.75–0.8× Brent's. That matches the 2026 analogs (Table 1): US barrels lag the seaborne premium on the way up and de-rate slightly less on the way down. The fifth scenario is US-specific.

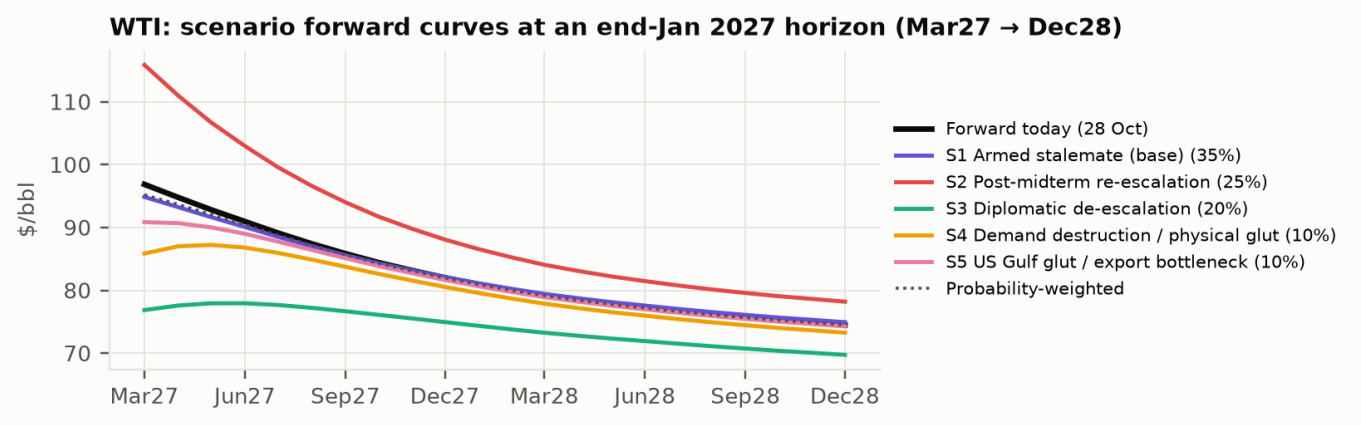


Figure 6. WTI scenario curves on fixed contracts at the end-Jan 2027 horizon.

Scenario	Prob.	Mar27	Jun27	Dec27	Dec28	H7–K7	H7–Z7	Z7–Z8	H/J/K fly
Forward today		96.85	90.94	82.00	74.46	4.03	14.85	7.54	0.13
S1 Armed stalemate (base)	35%	94.85 −2.00	90.07 −0.87	82.09 +0.09	74.92 +0.46	3.21 −0.82	12.76 −2.09	7.16 −0.38	0.05 −0.08
S2 Post-midterm re-escalation	25%	115.85 +19.00	102.95 +12.01	88.06 +6.06	78.19 +3.73	9.14 +5.11	27.79 +12.94	9.87 +2.33	0.64 +0.51
S3 Diplomatic de-escalation	20%	76.85 −20.00	77.93 −13.01	74.94 −7.06	69.73 −4.73	−1.08 −5.11	1.91 −12.94	5.21 −2.33	−0.38 −0.51
S4 Demand destruction / physical glut	10%	85.85 −11.00	86.79 −4.15	80.53 −1.47	73.26 −1.20	−1.37 −5.40	5.32 −9.53	7.27 −0.27	−0.94 −1.07
S5 US Gulf glut / export bottleneck	10%	90.85 −6.00	88.99 −1.95	81.64 −0.36	74.26 −0.20	0.84 −3.19	9.21 −5.64	7.38 −0.16	−0.50 −0.63
Probability-weighted	100%	95.20	90.43	81.95	74.47	3.14	13.25	7.48	−0.04

Table 5. WTI scenario levels and changes vs today (same conventions as Table 3).

Scenario	WTI-specific transmission	Curve impact	Signposts
S1 Armed stalemate (35%)	Exports stay at 4–5 mb/d at a narrowing arb. The distillate draw continues, but gasoline builds and record output keep the prompt from squeezing.	Mar27 −$2; prompt spreads ease to ~$3. Back end stable.	Weekly exports, Cushing 25–28 mb, ULSD stocks, WTI MEH-Forties arb.
S2 Re-escalation (25%)	Asian and European buyers bid hard for “secure” US barrels, with WTI Midland DES Asia back toward the September record (+$34.60 vs Dubai). Export capacity caps the pass-through.	Mar27 +$19 and H7–Z7 ~$28. WTI lags Brent, so CLBZ widens.	Asian WTI premiums, VLCC fixtures out of USGC, Cushing draws below 25 mb.
S3 De-escalation (20%)	Seaborne premiums collapse and freight falls, so the US export arb normalises. US barrels lose their security premium, but the domestic distillate deficit cushions runs.	Mar27 −$20; prompt spreads tip to slight contango. Dec28 −$4.5.	Same as Brent S3, plus the WTI Midland premium in Asia falling below $10.
S4 Demand destruction (10%)	Gasoline demand weakens (stocks already building), refiners cut runs after a hard autumn, and crude backs up into Cushing.	Mar27 −$11 with front contango and a fly of about −$1.	Implied gasoline demand, refinery utilisation below 88%, Cushing builds.
S5 US Gulf glut / export bottleneck (10%)	Freight stays punitive while record production (13.99 mb/d), Venezuelan and Canadian heavy barrels, and Guyana's record exports saturate the Gulf. The arb shuts and crude backs up into Cushing and PADD 3.	WTI-only: Mar27 −$6 with a short decay. H7–K7 compresses to ~$0.8 and the fly turns negative. Brent is unaffected, so CLBZ widens by ~$5 at the front.	WTI-Forties arb below $5, exports below 4 mb/d, Cushing above 30 mb, WCS Houston below −$25.

4. CLBZ (WTI−Brent): themes and scenarios

CLBZ (ICE WTCLCO) settled at −12.54 for Dec26, −6.16 for M13 and −4.98 for Dec28, against a pre-war curve that was flat at about −4.5 to −5. The whole dislocation sits in the first ~9 months. Dec26 CLBZ expires with Brent on 30 Oct; Jan27 (−10.65) then becomes the front.

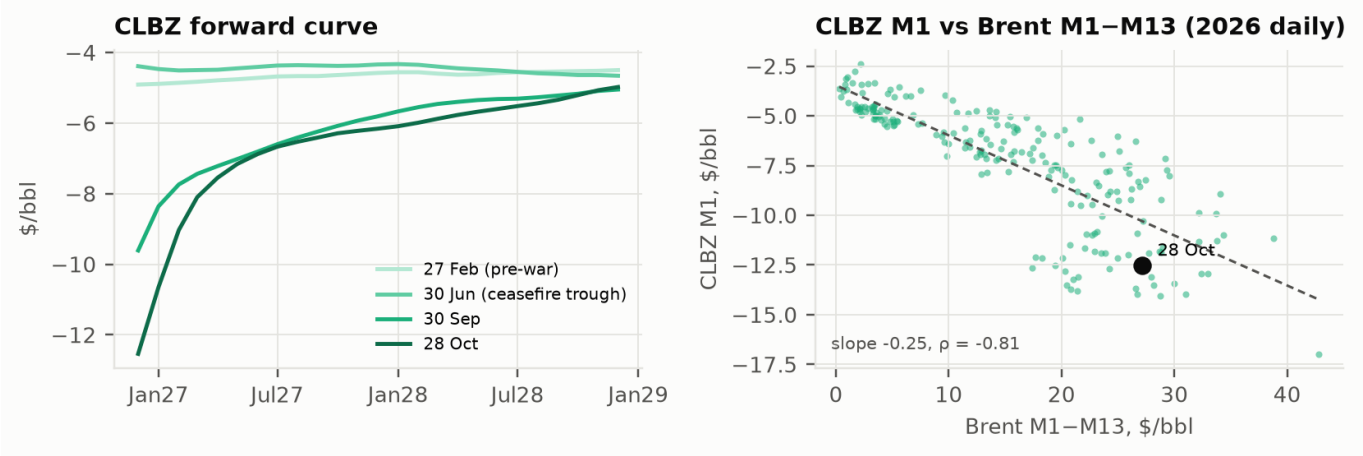


Figure 7. CLBZ curve on key dates (left) and CLBZ M1 against Brent's 1-year backwardation (right). October points sit below the line: WTI's discount is ~$2 wider than Brent structure alone would explain.

Primary themes

- **Brent carries the seaborne war premium; WTI carries only part of it.** Brent is the price of a waterborne barrel exposed to Hormuz and Red Sea risk, and Dated has been squeezed by prompt demand for secure Atlantic barrels. WTI is landlocked at Cushing and reaches that premium only through the export chain. The CLBZ front therefore trades almost one-for-one with the Brent prompt war premium (slope −0.25 per $1 of M1−M13, ρ −0.81).
- **Freight sets the width of the arb.** VLCCs earn ~$1.04m/day and LR2s ~$215k/day for November. A wide CLBZ is the price of moving the marginal US barrel to Rotterdam or Asia. The WTI MEH→Rotterdam incentive collapsed from $13.57 to $6.83 last week, meaning WTI is only just clearing exports. Any further freight rise (or a fall in Brent's physical premium) must show up as a wider CLBZ.
- **The US export ceiling pushes the US balance onto CLBZ.** Exports of 4.85 mb/d are a 5-month high against record output of 13.99 mb/d, and the heavy Gulf Coast glut (record WCS discounts, Venezuelan inflows) shows docks and refiners are saturated. When the export pipe is full, extra US supply has to clear through a wider spread.
- **Europe is already well supplied with WTI.** WTI Midland is in the Dated basket and is offered CIF Rotterdam at only +$6–8 to Dated, with more December arrivals coming. That caps how far Dated can rally against WTI at the margin, and is the main reason CLBZ narrowed from −14 to −12.5 this week despite the escalation headlines.
- **Back end: structurally anchored.** Beyond 2027 CLBZ returns to the transport-cost equilibrium (~−5): pipeline tariff, Gulf Coast terminalling and normal freight, plus a quality premium for Brent. The back is at −4.98, about 0.5 wider than pre-war, a small permanent freight and insurance premium.

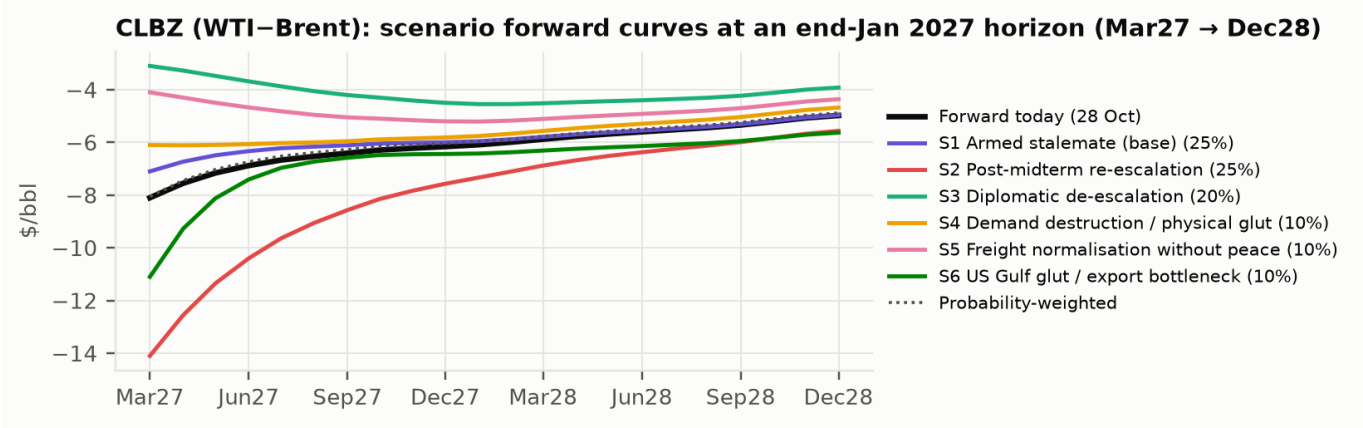


Figure 8. CLBZ scenario curves. S1–S4 are WTI minus Brent from the scenarios above; S5 and S6 are spread-specific.

Scenario	Prob.	Mar27	Jun27	Dec27	Dec28	H7–K7	H7–Z7	Z7–Z8	H/J/K fly
Forward today		−8.10	−6.88	−6.16	−4.98	−0.94	−1.94	−1.18	−0.16
S1 Armed stalemate (base)	25%	−7.10 +1.00	−6.33 +0.55	−5.99 +0.17	−4.97 +0.01	−0.61 +0.33	−1.11 +0.83	−1.03 +0.15	−0.13 +0.03
S2 Post-midterm re-escalation	25%	−14.10 −6.00	−10.40 −3.52	−7.57 −1.41	−5.56 −0.58	−2.75 −1.81	−6.53 −4.59	−2.01 −0.83	−0.34 −0.18
S3 Diplomatic de-escalation	20%	−3.10 +5.00	−3.68 +3.20	−4.50 +1.66	−3.92 +1.06	0.38 +1.32	1.40 +3.34	−0.58 +0.60	−0.03 +0.13
S4 Demand destruction / physical glut	10%	−6.10 +2.00	−6.07 +0.81	−5.81 +0.35	−4.68 +0.30	−0.00 +0.94	−0.29 +1.65	−1.13 +0.05	0.02 +0.18
S5 Freight normalisation without peace	10%	−4.10 +4.00	−4.67 +2.21	−5.20 +0.96	−4.36 +0.62	0.40 +1.34	1.10 +3.04	−0.84 +0.34	0.01 +0.17
S6 US Gulf glut / export bottleneck	10%	−11.10 −3.00	−7.41 −0.53	−6.44 −0.28	−5.63 −0.65	−2.98 −2.04	−4.66 −2.72	−0.81 +0.37	−0.68 −0.52
Probability-weighted	100%	−8.05	−6.73	−6.04	−4.88	−1.02	−2.01	−1.15	−0.19

Table 6. CLBZ scenario levels (WTI − Brent, $/bbl). Blue = narrower (less negative) than today, orange = wider.

Scenario	Mechanism	CLBZ curve impact
S1 Stalemate (25%)	Prompt Brent physical keeps lengthening while US exports keep flowing at a thinner arb.	Front narrows ~$1 (Mar27 ≈ −7.1); back unchanged.
S2 Re-escalation (25%)	The Brent premium jumps first; the US export pipe cannot add barrels fast enough, and freight spikes.	Mar27 to ~−14 (the March analog reached −17), H7–Z7 ~−6.5; back barely moves (−5.6).
S3 De-escalation (20%)	Seaborne premium and freight collapse together, as in June when CLBZ M1 hit −2.8.	Mar27 to ~−3; the curve inverts, with the front trading above the back.
S4 Demand destruction (10%)	Both legs fall; Brent loses its prompt premium a bit faster.	Modest narrowing (Mar27 ≈ −6).
S5 Freight normalisation without peace (10%)	Security patrols and convoying cut VLCC rates and insurance even while the conflict continues, and STS/shuttle inefficiencies unwind.	Front narrows ~$4 (Mar27 ≈ −4.1); flattening concentrated in H1 2027.
S6 US Gulf glut (10%)	WTI-specific weakness (WTI S5) while Brent holds its base case.	Front widens ~$3 to −11; front fly turns more negative (−0.7).

5. Cross-product read-through and signpost calendar

How each scenario reshapes each part of the curve (direction and approximate size, $/bbl, vs today):

Scenario (prob.)	Brent prompt (Mar27)	Brent H7–Z7	Brent Dec28	WTI prompt (Mar27)	WTI H7–Z7	WTI Dec28	CLBZ Mar27	CLBZ Dec28
S1 Armed stalemate (base) (35%)	▼3.0	▼2.9	▲0.4	▼2.0	▼2.1	▲0.5	▲1.0	≈0
S2 Post-midterm re-escalation (25%)	▲25.0	▲17.5	▲4.3	▲19.0	▲12.9	▲3.7	▼6.0	▼0.6
S3 Diplomatic de-escalation (20%)	▼25.0	▼16.3	▼5.8	▼20.0	▼12.9	▼4.7	▲5.0	▲1.1
S4 Demand destruction / physical glut (10%)	▼13.0	▼11.2	▼1.5	▼11.0	▼9.5	▼1.2	▲2.0	▲0.3

Table 7. Common-macro scenarios side by side. H7–Z7 carries ~0.65–0.75× the prompt outright move and the 2028 contracts ~0.15–0.25×, so most of the scenario risk sits in the first 6–9 contracts.

Signpost calendar (next ~3 months)

Date / frequency	Event	Why it matters for the curve
30 Oct	ICE Brent Dec26 expiry (CLBZ Dec26 expires with it)	Tests the strong Dec/Jan roll against a weak early-November Dated strip. Jan27 becomes M1.
3 Nov	US midterm elections	Main escalation trigger (renewed US strikes on Iran). Ukraine may resume refinery strikes once US pressure eases.
~6–7 Nov	First Russian diesel cargo to the US since 2022	Test of the political diesel fix; Russia plans 0.5 Mt in November and 1 Mt in December.
~19 Nov	NYMEX WTI Dec26 expiry	Cushing at 27 mb with exports at 4.85 mb/d: watch for a late squeeze or a soft expiry.
Weekly (Wed)	EIA: exports, Cushing, ULSD stocks	Exports below 4 mb/d or Cushing above 30 mb point to S5 (WTI) / S6 (CLBZ).
Daily	CAS Hormuz/Bab al-Mandab transits, UKMTO notices	Fastest read on S2 vs S3. Transits below 15/day historically coincided with front-spread blowouts.
Daily	Platts Dated/CFD structure, CPC and Forties differentials, Dubai cash	Physical confirmation (or not) of the paper premium; S1 and S4 show up here first.
Nov–Jan	EU gas storage, TTF, weather; Russian refinery outages	Drivers of S5 (distillate squeeze) through gas-to-oil switching and diesel supply.
H1 2027	Rosebank start-up, Permian service repricing, OPEC+ decisions	Long-dated anchors: start-ups lower the back end, cost repricing raises it.

Methodology and caveats

- Prices are exchange settlements from qh_settlements (CL, CO, WTCLCO) through 28 Oct 2026. Generic slots roll the day after expiry. Flies are 1:2:1 monthly. M1 on 28 Oct is Dec26 for all three products, and Brent/CLBZ Dec26 expire on 30 Oct.
- Scenario curves are stylised. Each specifies a prompt and a Dec28 move, and intermediate contracts follow $\Delta(\tau) = \Delta\text{back} + (\Delta\text{prompt} - \Delta\text{back})\cdot e^{-(\tau-1)/k}$, with k = 5 months for flow scenarios and 2.5–3 for prompt-only ones. The calibration comes from the 2026 analogs (back-end beta 0.14–0.32) and daily regression betas. They show how the curve reshapes, not point forecasts. Roll-down and carry to the horizon are not modelled.
- Probabilities are subjective, based on the news flow in the source documents, and set so the probability-weighted curve is close to the market forward. Some source figures conflict: CERA puts Russian refining offline at both ~2 mb/d and ~4 mb/d in the same week. Where that happens a range is quoted.